

Question 1

a) What do you mean by accounting? (2 marks)

b) What are the four financial statements that are prepared by a business? What is the purpose and content of each statement? (6 marks)

c) The information that a user of financial information needs depends upon the kinds of decisions the user makes. There are two broad groups of users of financial information: internal users and external users.

Who are these internal and external users of accounting information, and how do they use this information? (4 marks)

a) What do you mean by accounting? (2 marks)

Accounting is the process of identifying, collecting, and storing data, and also measuring, developing, and sharing information. It helps a business to know its profit or loss, financial position, and cash situation, and provides useful information for decision-making. Therefore, accounting is an information system because an Accounting Information System (AIS) collects, records, stores, and processes accounting and other data to provide useful information for decision-making.

b) What are the four financial statements prepared by a business? What is the purpose and content of each statement? (6 marks)

Financial Statements

A business prepares **four basic financial statements** to communicate financial information to users. Each statement has a specific **purpose** and **content**.

The **four main financial statements** are:

1. Balance Sheet

Purpose:

Shows the **financial position** of a business at a **specific point in time**.

Content:

- **Assets** – what the business owns
- **Liabilities** – what the business owes
- **Owner's Equity** – owner's claim on assets

Equation:

Assets = Liabilities + Owner's Equity

2. Income Statement

Purpose:

Reports the **profit or loss** of a business over a **period of time**.

Content:

- **Revenues** – income earned from operations
- **Expenses** – costs incurred to earn revenue
- **Net Income / Net Loss** (Revenues – Expenses)

3. Statement of Owner's Equity

Purpose:

The **Statement of Owner's Equity** shows the **changes in the owner's capital** of a business over a specific accounting period.

Content:

- Beginning capital
- Add: Owner's investments, Net income
- Less: Owner's withdrawals, Net loss
- Ending capital

4. Statement of Cash Flows

Purpose:

The **Statement of Cash Flows** reports the **inflows and outflows of cash** of a business during a specific accounting period.

Purpose:

- To show **how cash is generated and used** by the business
- To explain the **change in cash balance** between two balance sheet dates
- To assess the business's **liquidity and ability to pay obligations**

Content:

Cash flows from:

- **Operating activities**
- **Investing activities**
- **Financing activities**

c) Who are the internal and external users of accounting information, and how do they use this information? (4 marks)

1. Internal Users

Internal users are individuals who work **within the business organization** and are directly involved in its day-to-day operations.

Examples:

- Owners
- Managers
- Employees

Uses of Accounting Information:

- **Planning and decision-making:** Owners and managers use accounting data to plan future activities, set goals, and make strategic decisions.
- **Controlling costs:** Managers analyze expenses to control wastage and improve efficiency.
- **Evaluating performance:** Financial reports help assess profitability, productivity, and operational performance.
- **Employee assessment:** Employees may use information to evaluate job security, bonuses, and wage negotiations.

2. External Users

External users are individuals or organizations **outside the business** who have an interest in its financial performance and position.

Examples:

- Investors
- Creditors (banks and lenders)
- Government and regulatory bodies
- Tax authorities

Uses of Accounting Information:

- **Investment decisions:** Investors analyze profitability and financial stability before investing.
- **Credit decisions:** Creditors assess the business's ability to repay loans and interest.
- **Tax assessment:** Tax authorities calculate taxes payable based on reported income.
- **Legal and regulatory compliance:** Government agencies ensure that the business follows accounting laws and regulations.

Question 2

a) Shewly decides to open a lemonade stand. She invests Tk. 100 from her savings to buy lemons, sugar, and a table. She sells 120 cups of lemonade for Tk. 2 per cup. After a day, she counts her earnings. Explain how Shewly records her initial investment, daily sales, and calculate her profit or loss in her book of accounts. (4 marks)

b) Discuss how advances in technology, such as blockchain and artificial intelligence, are influencing the field of accounting and financial reporting. (4 marks)

c) Explain the role of auditors in the financial reporting process. How do auditors add credibility to financial statements, and why is their independence crucial?(4 marks)

a) Recording investment, sales, and profit/loss (4 marks)

Recording in the book of accounts:

1. Initial Investment

When Shewly invests Tk. 100 from her savings, it is recorded as owner's capital.

- Cash increases Tk. 100
- Owner's Equity (Capital) increases Tk. 100

Journal Entry:

Cash A/C	Dr	Tk. 100	
Capital A/C			Tk. 100

2. Daily Sales

She sells **120 cups at Tk. 2 per cup.**

Total Sales = $120 \times 2 = \text{Tk. 240}$

This is recorded as revenue earned in cash.

Journal Entry:

Cash A/C	Dr	Tk. 240	
Sales Revenue A/C			Tk. 240

3. Calculation of Profit or Loss

- Total Revenue = Tk. 240
- Expenses (cost of lemons, sugar, table) = Tk. 100

Profit = Revenue – Expenses

= $240 - 100$

= **Tk. 140 (Profit)**

b) Impact of technology on accounting and financial reporting(4 marks)

Advances in technology have significantly changed the field of accounting and financial reporting.

- **Blockchain technology** creates a secure and transparent system where transactions are recorded permanently. Once data is entered, it cannot be easily changed, which helps reduce fraud and errors. It also improves trust among users of financial statements.
- **Artificial Intelligence (AI)** helps automate routine accounting tasks such as data entry, invoice processing, and reconciliation. AI can quickly analyze large amounts of financial data, detect unusual patterns, and help in identifying fraud and mistakes. It also supports better financial forecasting and decision-making.

Overall, technology makes accounting **more accurate, faster, cost-effective, and reliable**, and improves the quality of financial reporting.

c) Role of auditors in financial reporting (4 marks)

Auditor is a professional authorized to examine and verify the accuracy of records—most commonly financial ones—to ensure they are honest and comply with laws. Auditors play an important role in the financial reporting process by examining and verifying a company's financial statements. Their main duty is to ensure that the financial statements present a true and fair view of the company's financial position and performance.

Auditors add credibility by checking accounting records, testing transactions, and ensuring compliance with accounting standards and laws. When auditors give an audit opinion, users such as investors, creditors, and government authorities gain confidence in the financial statements.

Auditor independence is crucial because auditors must remain free from management influence. Independence ensures that their opinion is objective, unbiased, and trustworthy, which is essential for the reliability of financial reports.

Question 3

a) Define journalizing and posting.

(2 marks)

b) Emily Valley is a licensed dentist. During the first month of the operation of her business, the following events and transactions occurred:

- April 1: Invested Tk. 20,000 cash in her business.
- Hired a secretary-receptionist at a salary of Tk. 700 per week, **payable monthly.**
- Paid office rent for the month, Tk. 1,000.
- Purchased dental supplies on account from Dazzle Company, Tk. 4,000.
- Performed dental services and billed insurance companies, Tk. 5,100.
- Received Tk. 1,000 cash in advance from Leah Maturaka for an implant.
- Received Tk. 2,100 cash for services performed from Michael Santos.
- Paid secretary-receptionist for the month, Tk. 2,800.
- April 30: Paid Tk. 2,400 to Dazzle Company on account.

Instruction:

Journalize the transactions.

(8 marks)

(a) Define journalizing and posting

Journalizing

Journalizing is the process of **recording business transactions in the journal** in chronological (date-wise) order. Each entry shows the accounts affected, the debit and credit amounts, and a brief explanation.

Example: Recording a cash sale in the journal.

Posting

Posting is the process of **transferring journal entries from the journal to the ledger accounts**. It helps group all transactions related to a specific account in one place.

Example: Transferring a cash sale from the journal to the Cash and Revenue ledger accounts.

(b) Journalize the transactions.

Date	Account Titles and Explanation	Debit (Tk.)	Credit (Tk.)
Apr 1	Cash	20,000	
	Emily Valley, Capital		20,000
	<i>(Owner invested cash in business)</i>		
Apr 1	Rent Expense	1,000	
	Cash		1,000
	<i>(Paid office rent)</i>		
Apr 1	Dental Supplies	4,000	
	Accounts Payable (Dazzle Co.)		4,000
	<i>(Purchased dental supplies on account)</i>		
Apr —	Accounts Receivable	5,100	
	Service Revenue		5,100
	<i>(Performed services and billed insurance companies)</i>		
Apr —	Cash	1,000	
	Unearned Revenue		1,000
	<i>(Received cash in advance for services)</i>		
Apr —	Cash	2,100	
	Service Revenue		2,100
	<i>(Received cash for services performed)</i>		
Apr —	Salary Expense	2,800	

	Cash		2,800
	<i>(Paid secretary-receptionist salary)</i>		
Apr 30	Accounts Payable (Dazzle Co.)	2,400	
	Cash		2,400
	<i>(Paid part of amount owed to supplier)</i>		

Question 4

a) What are the major differences between financial accounting and managerial accounting? (4 marks)

b) "The variable cost per unit varies with output, whereas the fixed cost per unit is constant." Do you agree? Explain why or why not. (4 marks)

c) Define the following terms with examples:

- Differential cost
- Opportunity cost
- Sunk cost (4 marks)

a) Major differences between financial accounting and managerial accounting (4 marks)

Financial accounting and managerial accounting differ mainly in their **purpose, users, and nature of information**.

- **Financial accounting** is prepared for external users such as investors, creditors, government, and tax authorities. Its main purpose is to show the overall financial performance and position of a business. It follows generally accepted accounting principles (GAAP) and focuses on past financial information.
- **Managerial accounting** is prepared for internal users, mainly managers and owners. Its purpose is to help in planning, controlling operations, and making decisions. It does not follow strict rules and is more flexible and future-oriented, including budgets, cost analysis, and forecasts.

Thus, financial accounting focuses on reporting, while managerial accounting focuses on decision-making.

b) Variable cost and fixed cost statement(4 marks)

I do not fully agree with the statement.

- **Variable cost per unit** usually remains **constant per unit**, but the **total variable cost changes** with the level of production. For example, if the variable cost is Tk. 20 per unit, producing more units will increase the total variable cost, but the cost per unit remains the same.

- **Fixed cost per unit** is not constant. Although the total fixed cost remains unchanged within a relevant range, the fixed cost per unit decreases as production increases and increases as production decreases. For example, if rent is Tk. 10,000 per month, producing more units will reduce the fixed cost per unit.

Therefore, the statement is **partly incorrect** because it misunderstands the behavior of fixed cost per unit.

c) Definitions with examples (4 marks)

1. Differential Cost

Definition:

Differential cost means the **difference in cost between two choices**. Managers use it to see which option is cheaper or more suitable before taking a decision.

Example:

If making a product inside the company costs Tk. 50,000, but buying it from outside costs Tk. 60,000, the differential cost is **Tk. 10,000**.

2. Opportunity Cost

Definition:

Opportunity cost is the benefit or income that is given up when one option is chosen instead of another. This cost is not written in the accounting books, but it is very important for decision-making.

Example:

If a company uses its own land to build a factory instead of renting the land for Tk. 15,000 per month, then **Tk. 15,000** is the opportunity cost.

3. Sunk Cost

Definition:

Sunk cost is a cost that has already been spent in the past and cannot be recovered, no matter what decision is taken in the future. Therefore, it should not influence current decisions.

Example:

Money already spent on advertising research is a **sunk cost**, because it cannot be taken back.

Question 5

a) Define break-even point.

(2 marks)

b) Menlo Company distributes a single product. The company's sales and expenses for last month are as follows:

Particulars	Total (Tk.)	Per Unit (Tk.)
Sales	4,50,000	30
Variable Expenses	1,80,000	12

Contribution Margin	2,70,000	18
Fixed Expenses	2,16,000	—
Net Operating Income	54,000	—

Instructions:

- i) What is the monthly break-even point in units sold and in sales dollars?
(2 marks)
- ii) Without resorting to computations, what is the total contribution margin at the break-even point?
(2 marks)
- iii) How many units would have to be sold each month to earn a target profit of Tk. 90,000? Verify your answer by preparing a contribution-format income statement at the target sales level.
(4 marks)
- iv) Refer to the original data and compute the company's margin of safety in both dollars and percentage.
(2 marks)
- v) Compute the company's degree of operating leverage. Using this, estimate the impact on net operating income of a 5% increase in sales.
(2 marks)

a) Define break-even point

The break-even point is the level of sales at which a business's total revenue equals total costs, resulting in no profit and no loss. At this point, fixed and variable costs are fully covered. Beyond the break-even point, the firm earns profit, and below it, the firm incurs a loss.

b) Given Data (from last month)

- Selling price per unit = **Tk. 30**
- Variable cost per unit = **Tk. 12**
- **Contribution margin per unit = Tk. 18**
- Total fixed expenses = **Tk. 2,16,000**
- Current sales = Tk. 4,50,000
- Current net operating income = Tk. 54,000

i) Break-even point (2 marks)

In units

$$\text{Break-even units} = \frac{\text{Fixed Expenses}}{\text{CM per unit}} = \frac{2,16,000}{18} = \boxed{12,000 \text{ units}}$$

In sales taka

$$12,000 \times 30 = \boxed{\text{Tk. 3,60,000}}$$

ii) Total contribution margin at break-even point (2 marks)

At the break-even point, total contribution margin equals total fixed expenses.

$$\boxed{\text{Total contribution margin} = \text{Tk. 2,16,000}}$$

iii) Units required for target profit of Tk. 90,000 (4 marks)

Required units

$$\text{Units} = \frac{\text{Fixed Expenses} + \text{Target Profit}}{\text{CM per unit}} = \frac{2,16,000 + 90,000}{18} = \frac{3,06,000}{18} = \boxed{17,000 \text{ units}}$$

Verification: Contribution Format Income Statement

Particulars	Amount (Tk.)
Sales (17,000 × 30)	5,10,000
Variable expenses (17,000 × 12)	2,04,000
Contribution margin	3,06,000
Fixed expenses	2,16,000
Net operating income	90,000

✓ Target profit verified.

iv) Margin of safety (2 marks)

In taka

$$\begin{aligned} \text{Margin of Safety} &= \text{Total sales} - \text{Break-even Sales} \\ &= 4,50,000 - 3,60,000 = \boxed{\text{Tk. 90,000}} \end{aligned}$$

In percentage

$$\frac{90,000}{4,50,000} \times 100 = \boxed{20\%}$$

v) Degree of operating leverage (2 marks)

Degree of Operating Leverage (DOL)

$$\text{DOL} = \frac{\text{Contribution Margin}}{\text{Net Operating Income}} = \frac{2,70,000}{54,000} = \boxed{5}$$

Impact of 5% increase in sales

$$\text{Increase in NOI} = 5\% \times 5 = \boxed{25\%}$$

Question 6

a) "A worksheet is a permanent accounting record and its use is required in the accounting cycle."

Do you agree? Explain.

(2 marks)

b) Casey Hartwig, CPA, was retained by Global Cable to prepare financial statements for April 2024. After reviewing the records, the following trial balance was extracted:

Global Cable

Trial Balance

Account Title	Debit (Tk.)	Credit (Tk.)
Cash	4,100	—
Accounts Receivable	3,200	—
Supplies	800	—
Prepaid Insurance	1,200	—
Equipment	9,400	—
Accumulated Depreciation – Equipment	—	1,350
Accounts Payable	—	2,100
Salaries and Wages Payable	—	700
Unearned Service Revenue	—	890
Owner's Capital	—	12,900

Service Revenue	—	5,450
Salaries and Wages Expenses	3,300	—
Advertising Expenses	600	—
Miscellaneous Expenses	290	—
Depreciation Expenses	500	—
Total	23,390	23,390

Other Information:

- i) A count of supplies shows Tk. 300 of unused supplies on April 30.
- ii) Prepaid insurance is a one-year policy starting April 1, 2024.
- iii) Two-thirds of the unearned service revenue has been earned.
- iv) Depreciation on equipment for the month is Tk. 205.

Instruction:

Enter the trial balance on a worksheet and complete the worksheet.

(10 marks)

a) A worksheet is a permanent accounting record and its use is required in the accounting cycle.”
Do you agree

The accounting cycle is the systematic process of identifying, recording, classifying, summarizing, and reporting financial transactions of a business during an accounting period.

It shows how financial information flows from the occurrence of a transaction to the preparation of final accounts.

No, I do not agree with the statement. A worksheet is not a permanent accounting record; it is only a temporary working paper prepared to assist in preparing adjusting entries and financial statements. It is not part of the journal or ledger and is usually discarded after use. Moreover, the use of a worksheet is not required in the accounting cycle, since financial statements can be prepared directly from ledger balances. Therefore, a worksheet is optional and used only for convenience and accuracy.

b)

Global Cable

Worksheet for the Month Ended April 30, 2024 (Tk.)

(1) Adjusting Entries

No.	Adjustment	Debit (Tk.)	Credit (Tk.)
i	Supplies Expense	500	Supplies 500
ii	Insurance Expense	100	Prepaid Insurance 100

iii	Unearned Service Revenue	593	Service Revenue 593
iv	Depreciation Expense	205	Accumulated Depreciation – Equipment 205

(2) Completed Worksheet

Account Title	Trial Balance Dr	Trial Balance Cr	Adjustments Dr	Adjustments Cr	Adjusted Trial Balance Dr	Adjusted Trial Balance Cr
Cash	4,100	—	—	—	4,100	—
Accounts Receivable	3,200	—	—	—	3,200	—
Supplies	800	—	—	500	300	—
Prepaid Insurance	1,200	—	—	100	1,100	—
Equipment	9,400	—	—	—	9,400	—
Accumulated Depreciation – Equipment	—	1,350	—	205	—	1,555
Accounts Payable	—	2,100	—	—	—	2,100
Salaries & Wages Payable	—	700	—	—	—	700
Unearned Service Revenue	—	890	593	—	—	297
Owner's Capital	—	12,900	—	—	—	12,900
Service Revenue	—	5,450	—	593	—	6,043
Salaries & Wages Expense	3,300	—	—	—	3,300	—
Advertising Expense	600	—	—	—	600	—
Miscellaneous Expense	290	—	—	—	290	—
Depreciation Expense	500	—	205	—	705	—
Insurance Expense	—	—	100	—	100	—
Supplies Expense	—	—	500	—	500	—

Total	23,390	23,390	1,398	1,398	23,695	23,695
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(3) Explanation of Adjustments (Brief)

- **Supplies:** Used supplies = $800 - 300 = 500$
- **Insurance:** $1,200 \div 12 \text{ months} = 100$
- **Unearned Revenue:** $2/3 \times 890 = 593$ earned
- **Depreciation:** Monthly depreciation = **205**

✅ **Result** The worksheet is **correctly completed**, and the **adjusted trial balance balances**, confirming accuracy.

Question 7

a) "Accounting Information System (AIS) is the intelligence — the information-providing vehicle." Justify the statement. (2 marks)

b) How does the conceptual framework of Accounting Information Systems (AIS) integrate its sub-systems, such as transaction processing systems, to enhance decision-making and organizational efficiency? (6 marks)

c) What are the key differences and interrelationships between Accounting Information Systems (AIS) and Management Information Systems (MIS) in terms of objectives, components, and contributions to organizational decision-making? (4 marks)

a) "Accounting Information System (AIS) is the intelligence — the information-providing vehicle." Justify the statement. (2 marks)

An Accounting Information System (AIS) is called the intelligence of an organization because it collects, processes, and provides useful financial information to management. This information helps managers understand business performance, control operations, and make effective decisions, just as intelligence supports decision-making. AIS also ensures that information is accurate, timely, and reliable, which is essential for planning and control. As a result, it improves efficiency, accountability, and overall organizational performance.

b) How does the conceptual framework of AIS integrate its sub-systems to enhance decision-making and organizational efficiency? (6 marks)

The **conceptual framework of AIS** integrates different sub-systems to ensure that accurate and timely information is available for decision-making.

Key AIS Sub-Systems and Their Integration

1. Transaction Processing System (TPS)

- Records daily business transactions such as sales, purchases, payroll, and receipts.
- Acts as the **foundation of AIS** by providing accurate and timely raw data.

2. General Ledger and Financial Reporting System (GL/FRS)

- Summarizes data from TPS and prepares **financial statements**.
- Helps external and internal users evaluate the **financial position and performance** of the organization.

3. Management Reporting System (MRS)

- Uses accounting data to generate **budgets, cost reports, and performance reports**.
- Supports **planning, controlling, and managerial decision-making**.

4. Decision Support System (DSS)

- Analyzes accounting and non-accounting data using models and forecasts.
- Assists managers in solving **complex, non-routine problems**.

5. Internal Control System

- Ensures data accuracy, safeguards assets, and prevents errors and fraud.
- Enhances **reliability and efficiency** of the entire AIS.

By integrating these sub-systems, AIS improves **efficiency, accuracy, coordination, and quality of decisions** within the organization.

c) Differences and interrelationships between AIS and MIS (4 marks)

Differences and Interrelationships between AIS and MIS

FEATURE	MIS	AIS
Purpose	Provides information to support managerial decision-making	Captures and reports financial and accounting data
Focus	Non-financial data	Financial data
Users	Managers at all levels of the organization	Accountants and financial managers
Data	Includes current and projected non-financial data	Includes financial transactions and accounting data
Legality	Not legally required (except for large entities complying with SOX)	Required by law for directors of companies to keep accounting transactions
Subset	MIS is a superset of AIS	AIS is a partial subset of MIS
Transactions	Uses non-financial transactions as inputs	Requires financial data and some non-financial transactions as inputs

Interrelationship between AIS and MIS

- **AIS is a subsystem of MIS**, because accounting information is an important part of management information.
- **MIS uses data from AIS** to prepare reports for planning, control, and decision-making.
- Accurate and timely **AIS information improves the quality of MIS reports**.
- Without AIS, MIS would lack reliable financial data.

Question 8

a) How does a Database Management System (DBMS) differ from a traditional file system in terms of data storage, retrieval efficiency, data integrity, and scalability? (4 marks)

b) Define DDL and DML. List the tasks performed under DDL and DML. (4 marks)

c) What are the key principles of the Relational Database Model, and how do concepts like normalization, primary keys, and foreign keys contribute to maintaining data integrity and reducing redundancy? (4 marks)

a) Difference between DBMS and traditional file system (4 marks)

A **Database Management System (DBMS)** is more advanced and efficient than a traditional file system.

- **Data storage:**
In a traditional file system, data is stored in separate files, which often leads to duplication. In a DBMS, data is stored in a **centralized database**, reducing redundancy.
- **Retrieval efficiency:**
Retrieving data from files is slow and complex. A DBMS allows **fast and flexible querying** using SQL, making data retrieval quicker and easier.
- **Data integrity:**
File systems have weak control over data accuracy and consistency. A DBMS enforces **rules, constraints, and validations** to ensure data integrity.
- **Scalability:**
Traditional file systems are difficult to manage when data grows large. A DBMS can **handle large volumes of data and multiple users efficiently**, making it highly scalable.

b) Definition of DDL and DML with tasks (4 marks)

DDL (Data Definition Language):

DDL is used to **define and modify the structure of a database**.

Tasks under DDL:

- Creating tables (CREATE)
- Modifying table structure (ALTER)
- Deleting tables (DROP)
- Removing all records from a table (TRUNCATE)

DML (Data Manipulation Language):

DML is used to **insert, update, delete, and retrieve data** in a database.

Tasks under DML:

- Inserting data (INSERT)
- Updating data (UPDATE)
- Deleting data (DELETE)
- Retrieving data (SELECT)

c) Relational Database Model and integrity concepts (4 marks)

The **Relational Database Model** organizes data into **tables (relations)** made up of **rows (tuples)** and **columns (attributes)**. Each table represents a real-world entity, and relationships between tables are created using keys.

1. Normalization

Normalization is the process of **organizing data into well-structured tables** to remove unnecessary duplication.

- Reduces **data redundancy**
- Prevents **update, insert, and delete anomalies**
- Improves **consistency and efficiency**

2. Primary Key

A primary key is a **unique identifier** for each record in a table.

- Ensures **entity integrity**
- Prevents duplicate records
- Example: StudentID in a Student table

3. Foreign Key

A foreign key is a field in one table that **references the primary key of another table**.

- Maintains **referential integrity**
- Ensures valid relationships between tables
- Example: StudentID in an Enrollment table

Together, these concepts help maintain **data integrity, accuracy, and consistency**, and prevent unnecessary duplication of data.

Class Test-01

Question 1 (2 marks)

Why is accounting considered an information system?

Accounting is considered an information system because it collects, records, processes, and summarizes financial data of a business and then communicates useful information to users such as managers, owners, investors, and creditors. This information helps in planning, controlling operations, and making economic decisions, which is the main purpose of an information system.

Question 2 (3 marks)

Distinguish between **Bookkeeping** and **Accounting**.

Basis	Bookkeeping	Accounting
Meaning	Bookkeeping is the process of recording day-to-day financial transactions .	Accounting is the process of classifying, summarizing, analyzing, and interpreting financial data.
Nature of work	It is routine and mechanical in nature.	It is analytical and interpretative in nature.
Scope	Limited to recording transactions in journals and ledgers.	Wider scope; includes preparing financial statements and analysis.
Purpose	To maintain accurate records of transactions.	To provide useful financial information for decision-making.
Skill required	Requires basic accounting knowledge and accuracy.	Requires professional judgment and higher-level skills .

Question 3 (5 marks)

Define the following terms with examples:

- Assets
- Liabilities
- Owner's Equity
- Expenses
- Revenues

1. Assets

Assets are **resources owned or controlled by a business** that provide **future economic benefits**.

Example: Cash, equipment, buildings, accounts receivable.

2. Liabilities

Liabilities are **obligations or debts** that a business owes to outsiders.

Example: Bank loans, accounts payable, salaries payable.

3. Owner's Equity

Owner's equity is the **owner's claim on the assets** of the business after liabilities are deducted.

Example: Owner's capital and retained earnings.

4. Expenses

Expenses are the **costs incurred in earning revenue** during a period.

Example: Rent expense, salary expense, utility expense.

5. Revenues

Revenues are the **income earned** from normal business activities.

Example: Service revenue, sales revenue, consulting fees.

Question 4 (10 marks)

Ramisha started her own consulting firm, **Asha Enterprise**, on **March 1, 2024**. The following transactions occurred during the month of March:

1. **March 1:** Ramisha invested Tk. 10,000 cash in the business.
2. **March 2:** Paid Tk. 900 cash for rent for the month.
3. **March 3:** Purchased Tk. 600 of supplies on account.
4. **March 6:** Paid Tk. 125 for advertising in *The Daily Star*.
5. **March 12:** Received Tk. 1,000 cash for services performed.
6. **March 15:** Withdrew Tk. 2,500 cash for personal use.
7. **March 20:** Performed Tk. 5,400 of services on account.
8. **March 23:** Paid Tk. 2,500 for employee salaries.
9. **March 26:** Received a cash payment of Tk. 4,000 on account.
10. **March 29:** Borrowed Tk. 5,000 from the bank on a note payable.
11. **March 30:** Purchased equipment for Tk. 6,000 on account.
12. **March 30:** Paid Tk. 275 for utilities.

Instruction:

Show the effects of the above transactions on the accounting equation.